Ozgen Ozturk

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Professional Experience

June 2025 - *Present*	***Research Economist*, Bank of England**, Monetary Policy Strategy Division
Sep 2023 - May 2025	***Postdoctoral Research Fellow*, University of Oxford**, Department of Economics
October 2023 - May 2025	***Academic Contractor*, Bank of England**, Structural Economics Division
July 2022 - July 2023	***Economist*, Bank of England**, Structural Economics Division

Research Interests

Macrofinance, Firm Dynamics, Innovation & Productivity, Technological Change

References

Russell Cooper
European University Institute
Via delle Fontanelle 18
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Education

2017 - 2023	***PhD in Economics,* European University Institute**, Florence, Italy Advisors: Russell Cooper & Árpád Ábrahám
2017 - 2018	***MRes in Economics,* European University Institute**, Florence, Italy
2014 - 2017	***PhD studies in Economics - Course work and Qualifiers,* Middle East Technical University**, Ankara, Turkey
2012 - 2014	***MSc in Economics and Finance,* Middle East Technical University**, Ankara, Turkey
2007 - 2011	***BSc in Electrical and Electronics Engineering* Hacettepe University**, Ankara, Turkey

Publications

"TFPR: Dispersion and Cyclicality" (with *Russell Cooper*)
American Economic Journal: Macroeconomics, 18(3), July 2026, pp. 265–303 **[AEA]** **[NBER]**

"Firm Inflation Uncertainty" (with *Nick Bloom, Phil Bunn, Paul Mizen, Gregory Thwaites, Ivan Yotzov*)
AEA Papers and Proceedings, Volume 113, May 2023 **[AEA]** **[NBER]**

Working Papers

"Innovation, Financial Frictions, and Persistent Effects of Monetary Policy" (with *Aydan Dogan*) **(Under review)** **[BoE WP]**
We study how firms' financing of innovation shapes the transmission of monetary policy to productivity. Using a new panel of U.S. firms' balance sheets matched to loan contracts, we compare firms with and without access to cash flow-based borrowing, credit extended against earnings rather than physical collateral. Although contractionary monetary policy shocks reduce cash flow similarly for both groups, they lower R&D much more among firms without access to this form of financing. To interpret these findings, we develop a New Keynesian model with endogenous growth in which firms with access smooth R&D through debt issuance, while firms without access cut innovation investment more sharply. A 25-basis-point monetary tightening pushes output about 1 percent below its pre-shock trend on impact and leaves a persistent loss of about 0.12 percent. Extending cash flow-based borrowing to all firms reduces this persistent output loss by about one-third. The persistent decline falls disproportionately on firms without access, which are younger and produce more and higher-quality patents. The medium-run cost of monetary policy is therefore not only lower innovation, but also the misallocation of innovation away from successful innovators.

"Financial Constraints Revisited" (with *Nick Bloom, Phil Bunn, Paul Mizen*)

Financial constraints are central to firm investment and to the transmission of monetary policy, yet they are never observed: for decades the literature has inferred them from balance-sheet proxies. We measure them directly instead. In the Bank of England's Decision Maker Panel, senior decision makers report whether, and on which margin, finance constrains their planned investment, and we match their answers to each firm's archived balance sheet. A financial constraint turns out not to be one latent state but a set of distinct margins that split internal from external finance: the balance sheet identifies them through *different* characteristics, profitability and dividends marking the internal margin and leverage the external, a separation we test formally and that no single index reproduces. Standard proxies recover constraint status barely above chance out of sample, and the internal margin is the hardest of all to predict. A model with two primitives, internal net worth and one external-finance supply curve, organises the margins into two transmission channels: the internal margin moves with cash-flow surprises, the cost margin with the interest rate, and adverse shocks transmit more strongly than favourable ones, a firm-level counterpart of the aggregate "pushing on a string" asymmetry.

"Firms' Sales Expectations and Marginal Propensity to Invest" (with *Andrea Alati, Johannes Fischer, and Maren Froemel*) **[BoE WP]**
How do firms adjust their investment in response to sales shocks and what determines the response? Using a unique firm-level survey, we propose a novel approach to estimate UK firms' marginal propensity to invest (MPI) out of additional income: the forecast error of their sales growth expectations. Investment responds significantly to these sales surprises, with a 1 percentage point unexpected growth in sales translating into a 0.31 percentage point increase in capital expenditure. We find attentive firms to be more responsive, consistent with sales growth surprises providing firms with information about their demand. Sales growth surprises also cause firms to increase their prices, supporting this interpretation. We do not find evidence that these results are driven by financial frictions, uncertainty, or productivity shocks.

"Debt Contracts, Investment, and Monetary Policy"
This paper studies the role of debt contracts on the transmission of monetary policy to firm-level investment and borrowing. Empirically, using information from detailed loan-level data matched with balance sheet data and stock return data, I document that in response to a contractionary monetary shock, asset-based borrowers –firms with more pledgeable assets– experience sharper contraction in borrowing and investment than cash flow-based borrowers –firms with higher profitability. Despite constituting only 15% of the total investment, 64% percent of total investment *response* to monetary policy shocks are initiated by asset-based borrowers. Quantitatively, I set up a heterogeneous firm New Keynesian model with limited enforceability. The findings suggest that the traditional collateral channel explains this heterogeneous sensitivity as cash flow-based borrowers are less vulnerable to asset price fluctuations. Results indicate that debt contract type affects the strength of financial accelerator mechanism and shapes monetary policy transmission.

"Sectoral Volatility and the Investment Channel of Monetary Policy" (with *Thomas Walsh*)
We study how the dispersion of firm-level shocks affects the investment channel of monetary policy. Using firm-level panel data, we construct a measure of volatility based on the dispersion of firm-level productivity shocks and interact high-frequency identified monetary policy shocks with volatility. We document a novel fact: monetary policy has dampened real effects via the investment channel when firm-level TFP shock volatility is high. Given that dispersion rises in recessions, these findings offer further evidence as to why monetary policy is weaker in recessions and emphasize the importance of firm heterogeneity in monetary policy transmission.

Work in Progress

"Market Concentration and Monetary Policy Transmission in a Monetary Union" (with *Livia Chitu and Federica Romei*)

"NonLinearities in the Effects of Monetary Policy" (with *Russell Cooper*)

"High Frequency Firm Responsiveness" (with *Nick Bloom, Phil Bunn, Paul Mizen, Greg Thwaites, Ivan Yotzov*)

Previous Work Experience

2012/11 - 2017/08	***Research/Teaching Assistant,* Middle East Technical University, Department of Economics**, Ankara - Turkey
2015/03 - 2017/08	***Researcher,* Science and Research Council of Turkey**, Ankara - Turkey

Conferences & Invited Seminars

2025	Federal Reserve Bank of Boston; Sveriges Riksbank; Bank of Finland; Corvinus University of Budapest; Bank of England; Federal Reserve Bank of Dallas; Halle Institute for Economic Research (IWH)
2024	Middle East Technical University; University of Bristol; Bank of England Macro Series; University of Oxford Research Jamboree in Economics
2023	Money, Macro, and Finance Society; European Winter Meeting of Econometric Society
2022	European Winter Meeting of Econometric Society; European Economic Association-Econometric Society European Meeting
2021	European Winter Meeting of Econometric Society; World Finance Congress; Asian Meeting of Econometric Society; Computing in Economic and Finance

Grants

2020/08 - 2021/08	**PhD Completion Grant**, European University Institute, Florence, Italy
2017/09 - 2020/08	**PhD Scholarship**, Italian Ministry of Foreign Affairs, Florence, Italy
2015/03 - 2017/08	**Research Fund #114K957**, Scientific and Technological Research Council, Ankara, Turkey
2012/11 - 2017/08	**Research Fund under Government Contract**, Council of Higher Education Grant, Ankara, Turkey

Language & Software Skills

Languages	Turkish *(native)*, English *(fluent)*
Software	MATLAB, Stata, Dynare, LaTeX, R (basic)